

share the news that we have decided to return capital to our investors. This also means, unfortunately, that the Basis project will be shutting down.”²⁶ In response to regulatory pressure, DeFi has seen an increasing number of anonymous protocol founders. Earlier this year, an anonymous team launched a fork of the original Basis project (Basis Cash²⁷).

Governance tokens, released by many DeFi projects, are also facing increasing scrutiny as the Securities and Exchange Commission (SEC) continues to evaluate if these new assets will be regulated as securities. For example, Compound, the decentralized money market on Ethereum, recently released a governance token with no intrinsic value or rights to future cash flows. Doing so allowed Compound to avoid the SEC’s securities regulation, freeing the company from security issuance responsibilities. We predict more projects will follow Compound’s example in the future, and we expect most to exercise caution before issuing new tokens; many projects learned from the harsh penalties the SEC issued following the initial coin offering boom of 2017.²⁸

Many major market-cap cryptocurrencies have been ruled commodities by the CFTC, exempting them from money-transmitter laws. Individual states, such as New York, however, have regulation that targets brokerages facilitating the transfer and exchange of cryptocurrencies.²⁹ As DeFi continues to grow and the total number of issued assets continues to expand, we expect to see increasingly specific and nuanced regulation aimed at DeFi protocols and their users.

Cryptocurrency taxation has yet to be fully developed from a regulatory standpoint, and accounting software